PROJECT REFLOW: EXECUTIVE STRATEGY BLUEPRINT

NorthStar Retail Group | Supply Chain Reinvention (2027-2030)

EXECUTIVE RECOMMENDATION: PORTFOLIO A+B

We recommend deploying CAD $13.00M across AI-Powered Warehouse Automation (Option A) and Intelligent Transportation Optimization (Option B). This delivers CAD $8.08M in annual net savings, +CAD $7.094M in 3-year NPV, slashes late deliveries from 8.5% to 3.5%, and cuts logistics carbon emissions by 25.0%, while preserving CAD $7.00M in cash reserves under the board's $20.0M ceiling.

CAD $13.0M

Upfront Capital Allocation

$7.0M Cash Reserve Retained

+$7.094M

3-Year Net Present Value (10%)

Payback: 1.61 Years (19.3 Mo)

3.5% / -25%

Late Delivery & Emission Cut

Passes All Board Mandates

EXHAUSTIVE PORTFOLIO DECISION MATRIX

Portfolio Option	Capex	Net Savings/Yr	3-Year NPV	Payback	Late Rate	Emissions Cut
Option A Only	$8.0M	$4.90M	+$4.186M	1.63 Yrs	6.5% (Fail)	8.0% (Fail)
Option B Only	$5.0M	$3.90M	+$4.699M	1.28 Yrs	5.3% (Fail)	18.0% (Fail)
Option C Only	$12.0M	$4.80M	-$0.063M	2.50 Yrs	6.0% (Fail)	12.0% (Fail)
>> PORTFOLIO A + B (WINNER)	$13.0M	$8.08M	+$7.094M	1.61 Yrs	3.5% (PASS)	25.0% (PASS)
Portfolio A + C	$20.0M	$7.84M	-$0.503M (Loss)	2.55 Yrs	4.0% (Pass)	20.0% (Pass)
Portfolio B + C	$17.0M	$8.22M	+$3.442M	2.07 Yrs	3.5% (Pass)	25.0% (Pass)
Portfolio A + B + C	$25.0M	-- DISQUALIFIED: EXCEEDS CAD $20.0M BOARD BUDGET LIMIT --				

3-HORIZON EXECUTION SCHEDULE

? Horizon 1 (Months 1-4 | Fast Cash Flow): Deploy Intelligent Transport Optimization (Option B). Carrier API integration, machine learning route scheduling, and fleet load balancing. Delivers -18% emissions and 3.2 pt late drop.

? Horizon 2 (Months 3-6 | Core Efficiency): Robotic picking assistance and vision guidance in DC 1 and DC 2 (Option A). Workforce upskilling, cobot safety sign-off, and inventory slotting optimization. Full annual net run-rate achieved at M6.

? Horizon 3 (Months 7-12 | Network Scale): DC 3 automation, cross-dock load shifting, and enterprise supplier portal integration.